CORE DOMAIN 4: ACCOUNTING & FINANCIAL STATEMENTS

50 Essential Questions & Answers on Financial Reporting Standards

Q1. What is the fundamental accounting equation?

Answer: Assets = Liabilities + Shareholders' Equity. This forms the foundational balance framework for double-entry bookkeeping.

Q2. Name the three primary financial statements.

Answer: The Balance Sheet, the Income Statement, and the Cash Flow Statement.

Q3. What is the core purpose of a balance sheet?

Answer: To report a company's financial position—its assets, liabilities, and equity—at a specific single point in time.

Q4. What does an income statement show?

Answer: A company's financial performance—revenues, expenses, and net profit or loss—over a specified period of time (e.g., quarter or year).

Q5. Explain the Cash Flow Statement.

Answer: A statement tracking the actual cash inflows and outflows across three core activities: Operating, Investing, and Financing activities.

Q6. What is the difference between accrual and cash accounting?

Answer: Accrual accounting recognizes revenue when earned and expenses when incurred, regardless of cash movement. Cash accounting recognizes them only when cash changes hands.

Q7. What are GAAP and IFRS?

Answer: GAAP (Generally Accepted Accounting Principles) is the standard accounting framework used in the US. IFRS (International Financial Reporting Standards) is the global standard used across most other countries.

Q8. What is accounts receivable?

Answer: Money owed to a business by its customers for goods or services delivered on credit terms.

Q9. What is accounts payable?

Answer: Short-term financial obligations owed by a business to its suppliers for inventory, goods, or services purchased on credit.

Q10. Define depreciation.

Answer: The systematic allocation of the cost of a tangible asset over its useful life to match expenses with generated revenue.

Q11. Define amortization in accounting.

Answer: The systematic expensing of the cost of an intangible asset (like patents or trademarks) over its useful life.

Q12. What is the Current Ratio and how is it calculated?

Answer: A liquidity ratio measuring a firm's ability to cover short-term debts with short-term assets, calculated as Current Assets divided by Current Liabilities.

Q13. What is the Quick Ratio (Acid-Test)?

Answer: A stringent liquidity metric calculated as (Current Assets - Inventory) divided by Current Liabilities, testing immediate debt coverage.

Q14. What does a high Debt-to-Equity ratio indicate?

Answer: It implies that a company is heavily financed through debt relative to equity, increasing financial leverage and risk profile.

Q15. What is Gross Profit Margin?

Answer: The percentage of revenue left after deducting the cost of goods sold (COGS), calculated as (Revenue - COGS) divided by Revenue.

Q16. What is Return on Equity (ROE)?

Answer: A profitability metric measuring how efficiently a firm generates profits for shareholders, calculated as Net Income divided by Shareholders' Equity.

Q17. What is the double-entry bookkeeping system?

Answer: An accounting method requiring that every financial transaction be recorded in at least two accounts, with equal and opposite debits and credits.

Q18. What is revenue recognition?

Answer: An accounting principle dictating the specific conditions under which revenue is recognized and recorded in the financial statements.

Q19. What is the matching principle?

Answer: An accrual accounting rule requiring that expenses be reported in the same period as the revenues they helped generate.

Q20. What is Goodwill on a balance sheet?

Answer: An intangible asset created when one company acquires another for a premium price exceeding the fair market value of its net identifiable assets.

Q21. What is inventory turnover?

Answer: An efficiency ratio measuring how many times a company sells and replaces its stock of goods over a period, calculated as COGS divided by Average Inventory.

Q22. What is Net Income?

Answer: The total profit of a company after deducting all operating expenses, interest, taxes, and depreciation from total revenues.

Q23. What is Operating Income (EBIT)?

Answer: A company's profit from its core business operations, calculated as Gross Profit minus Operating Expenses.

Q24. What are retained earnings?

Answer: The cumulative percentage of net income that a company chooses to retain and reinvest in the business rather than distributing as dividends.

Q25. What is deferred revenue?

Answer: Cash received by a company before it delivers the corresponding goods or performs the services, recorded as a liability until earned.

Q26. What is a prepaid expense?

Answer: An advance payment for goods or services to be consumed in the future, recorded initially as an asset on the balance sheet.

Q27. Explain the concept of materiality in accounting.

Answer: The principle that financial information is significant enough to impact the economic decisions of users and must be disclosed accurately.

Q28. What is the trial balance?

Answer: An internal accounting report listing the balances of all general ledger accounts to verify that total debits equal total credits.

Q29. What is the general ledger?

Answer: The master record containing all of a company's financial accounts and historical transaction details.

Q30. What is a contra-asset account?

Answer: An asset account with a credit balance used to reduce the carrying value of a primary asset account (e.g., Accumulated Depreciation).

Q31. What is FIFO (First-In, First-Out)?

Answer: An inventory valuation method assuming that the oldest inventory items are sold first, leaving newer items on the balance sheet.

Q32. What is LIFO (Last-In, First-Out)?

Answer: An inventory valuation method assuming that the most recently produced or acquired inventory items are sold first.

Q33. What is Weighted Average Cost inventory valuation?

Answer: An inventory method that assigns the average cost of all available inventory items to the cost of goods sold and ending stock.

Q34. What is Return on Assets (ROA)?

Answer: A ratio measuring how efficiently a company uses its total assets to generate profits, calculated as Net Income divided by Total Assets.

Q35. What is the Asset Turnover ratio?

Answer: An efficiency metric measuring a firm's capacity to generate sales from its assets, calculated as Total Revenue divided by Average Total Assets.

Q36. What is the Days Sales Outstanding (DSO)?

Answer: The average number of days it takes for a company to collect cash from customers after a credit sale has been completed.

Q37. What are cash equivalents?

Answer: Short-term, highly liquid investments that are easily convertible into known cash amounts with negligible risk of value change (e.g., T-bills).

Q38. What is operating cash flow (OCF)?

Answer: The total cash generated by a company's normal core business operations over a specific financial reporting window.

Q39. What is financing cash flow?

Answer: Cash flow relating to activities used to fund the company, such as issuing or buying back shares, borrowing debt, or paying dividends.

Q40. What is investing cash flow?

Answer: Cash flow tracking the acquisition and disposal of long-term assets and investments, such as property, equipment, or securities.

Q41. What is a capital expenditure (CapEx)?

Answer: Funds spent by a company to acquire, upgrade, and maintain physical fixed assets like property, buildings, or equipment.

Q42. What is an operating expense (OpEx)?

Answer: The day-to-day costs required to run a business, such as rent, salaries, utilities, and research and development.

Q43. What is the difference between CapEx and OpEx?

Answer: CapEx creates long-term assets written off over time; OpEx covers short-term operating costs fully expensed in the current period.

Q44. What does an auditor's clean opinion mean?

Answer: An unqualified report stating that a company's financial statements present its financial position fairly and comply with standards.

Q45. What is a qualified auditor's opinion?

Answer: A report indicating that while the financial statements are generally fair, there is a specific, isolated departure from standard accounting principles.

Q46. What is the cash conversion cycle (CCC)?

Answer: A metric tracking the time (in days) it takes for a business to convert its investments in inventory back into liquid cash from sales.

Q47. Define leverage ratios.

Answer: Financial metrics analyzing a company's usage of debt capital to finance its assets and operational growth.

Q48. What is the Interest Coverage Ratio?

Answer: A metric assessing a company's capacity to pay interest on its outstanding debt, calculated as EBIT divided by Interest Expense.

Q49. What is price-to-book (P/B) ratio?

Answer: A valuation ratio comparing a firm's current market value to its book value, calculated as Stock Price divided by Book Value per Share.

Q50. What is contingent liability?

Answer: A potential financial obligation that may arise in the future depending on the outcome of an uncertain event, such as an ongoing lawsuit.

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